

Amazon.com, Inc.

NASDAQ: AMZN | Consumer Discretionary / Cloud | 10 July 2026

BUY Target Price: \$270 | CMP: \$248 (18-Jul-2026) | Upside: +9%

Investment Summary

Amazon's FY2025 confirmed the story that matters: this is now a high-margin business wearing a low-margin costume. Revenue reached \$716.9 billion (+13%), but the headline is profitability — operating income jumped to \$80.0 billion and net income to \$77.7 billion (EPS ~\$7.20), as AWS, advertising and retail efficiency compounded. Operating margin has expanded from ~2% in 2022 to ~11%.

The three profit engines — AWS (the cash machine), a \$68bn+ advertising business, and a structurally more efficient retail/logistics operation — are each growing faster than the top line. Free cash flow is temporarily depressed by an aggressive AI-infrastructure capex cycle, which is a feature, not a bug, if AWS re-accelerates.

At ~29x trailing earnings for a company compounding operating income far faster than revenue, we see fair value near \$270 on a sum-of-the-parts basis. We rate it BUY.

Snapshot

Metric	Value	Note
Market cap	~\$2.66 trillion	≈10.7bn shares
FY2025 revenue	\$716.9bn (+13%)	Product + service mix
FY2025 op income / EPS	\$80.0bn / ~\$7.20	Op margin ~11% (was ~2% in 2022)
Valuation	~29x P/E; ~17x EV/EBITDA	AWS + Ads drive the profit
Free cash flow	Depressed by AI capex	Investment cycle, not deterioration

FY2025 Results Review

Total revenue of \$716.9bn (+13%) split between net product sales (\$296bn) and net service sales (\$421bn) — the higher-margin services line now the larger and faster-growing half. Operating income of \$80.0bn (+17% at the margin line) reflects AWS profitability, advertising scale and lower cost-to-serve in retail. Net income was \$77.7bn. Operating cash flow was strong (~\$140bn), but free cash flow was compressed by ~\$132bn of capital expenditure as Amazon builds out AI and data-centre capacity — the key swing factor for the FCF story ahead.

Valuation

Amazon is best valued sum-of-the-parts, because a blended P/E understates the mix shift. AWS — high-margin, high-growth — carries the bulk of the value; advertising is a ~\$70bn, high-incremental-margin business hiding inside 'services'; and retail is now a modestly profitable, cash-generative operation. On ~17x EV/EBITDA and ~29x trailing earnings against rising margins, our parts-based fair value is about \$270, ~11% above the current price. Our segment SOTP: AWS at 15x revenue (~\$1.93tn — the crown jewel, +20-24% with an AI tailwind); Advertising at 8x revenue (~\$0.50tn — a ~\$63bn, ~50%-margin business hidden inside retail); Retail at 0.6x revenue (~\$0.35tn — thin margins but an unmatched logistics moat); plus ~\$45bn net cash. That sums to ~\$265/share; we set our target at \$270. Free cash flow is temporarily suppressed by ~\$200bn of AI/logistics capex — a bet that, if AWS demand follows the spend, steps the earnings base up hard.

The risk-reward hinges on the capex cycle converting to AWS growth and free-cash-flow recovery. If it does, the earnings base steps up; if AI demand disappoints, FCF stays pressured. Figures are illustrative; see the accompanying model.

Key Risks

- Elevated AI / data-centre capex (~\$132bn) suppressing free cash flow.
- AWS growth competition from Microsoft Azure and Google Cloud.
- Consumer / retail cyclicalities and margin sensitivity.
- Regulatory and antitrust scrutiny across retail and cloud.
- Execution risk on the pace of margin expansion.

Company Overview

Amazon is a global leader in e-commerce, cloud computing (Amazon Web Services), digital advertising, and devices/streaming. AWS is the profit engine and the world's largest cloud-infrastructure provider; the advertising business is among the fastest-growing at scale; and the retail/logistics network, after years of investment, is now a structurally more profitable operation. The combination gives Amazon multiple independent growth and margin levers.

Disclaimer

Prepared for personal analytical and educational purposes. Not investment advice, nor an offer or solicitation. Figures sourced from company filings (FY2025) and market data believed reliable but not guaranteed. The target is an illustrative output of the accompanying model and depends on its assumptions. Consult a licensed adviser before acting.

Amazon.com (AMZN) — Sum-of-the-Parts (SOTP) Valuation

USD millions except per share. FY2025 segment basis. 10,700M shares; net cash ~\$45bn. Live \$248 (Jul 2026).

SEGMENT VALUATION

Segment	Metric (FY25, \$M)	Value	Multiple	EV / Value (\$MBasis
AWS	Revenue	128700	15	1,930,500 Crown jewel: +20-24%, ~37% margin, AI tailwind @ 15x rev
Advertising	Revenue	63000	8	504,000 +22%, ~50% margin, hidden inside retail @ 8x rev
Retail (NA+Intl, ex-ads)	Revenue	588000	0.6	352,800 Low-margin e-commerce + logistics moat @ 0.6x rev
Net cash	Cash - debt	45000	1	45,000 Balance sheet

SOTP SUMMARY & RATING

Sum of segment values (\$M)	2,832,300
Diluted shares (M)	10700
SOTP value per share (\$)	265
Current price (\$)	248
Upside / (downside)	6.7%
Rating	ACCUMULATE

Note: AWS is the value engine — SOTP prices it as the standalone hyperscaler the blended multiple hides. Advertising (~\$63bn, ~50% margin) is a high-value business buried

	2020	2021	2022	2023	2024	2025		
Revenue								
Total Revenue	386,064	469,822	513,983	574,785	637,960	716,924		
Product Sales	215,915	241,787	242,901	255,995	271,683	296,266		
Service Sales	170,149	228,035	271,082	318,790	366,277	420,658		
Cost of Revenue								
Cost of Sales	233,307	272,383	288,831	304,739	326,293	356,414		
Gross Profit	152,757	197,439	225,152	270,046	311,667	360,510		
Gross Margin %	39.57%	42.02%	43.81%	46.98%	48.80%	50.29%		
Operating Expenses								
Fulfillment	58,517	75,111	84,299	90,619	95,178	109,074		
Technology and Content	42,740	56,052	73,213	85,622	94,289	108,521		
Sales and Marketing	22,008	32,551	42,238	42,813	47,108	47,129		
General and Administrative	8,823	8,823	8,437	8,330	9,456	11,172		
Other Operating Expense	2,044	1,263	1,263	767	1,099	4,639		
Total Operating Expenses	133,425	173,800	209,450	228,151	247,130	280,535		
Operating Income (EBIT)	22,899	24,879	12,248	36,852	68,593	79,975		
Operating Margin %	5.93%	5.30%	2.38%	6.41%	10.70%	11.16%		
Non-Operating Items								
Interest Income	555	448	989	2,949	4,926	4,381		
Interest Expense	(1,647)	(1,809)	(2,367)	(3,057)	(2,406)	(2,274)		
Other Income (Expense), net	2,371	14,633	16,966	-748	2,012	15,229		
Income Before Tax (EBT)	24,178	38,151	27,836	36,996	73,125	97,311		
Provision for Income Taxes	2,863	4,791	30,558	6,566	13,877	19,087		
Effective Tax Rate %	11.84%	12.56%	109.78%	17.75%	19.00%	19.61%		
Net Income	21,331	33,364	(2,722)	30,425	59,248	77,670		
Net Margin %	5.53%	7.10%	-0.53%	5.29%	9.30%	10.83%		
Key Metrics								
EBITDA (Operating Income + D&A)	48,079	59,312	54,169	85,515	121,388	145,731		
EBITDA Margin %	12.45%	12.62%	10.54%	14.88%	19.00%	20.33%		
Depreciation & Amortization	25,180	34,433	41,921	48,663	52,795	65,756		

Note: All units are in USD millions

	2020	2021	2022	2023	2024	2025
ASSETS						
Current Assets						
Cash and Cash Equivalents	42,122	36,477	54,253	73,890	82,312	86,810
Marketable Securities	42,274	59,829	16,138	13,393	18,979	36,219
Total Cash & Investments	84,396	96,306	70,391	87,283	101,291	123,029
Accounts Receivable, net	24,542	32,891	42,360	48,786	54,749	67,729
Inventories	23,795	32,640	34,405	33,303	37,232	38,325
Other Current Assets	16,432	18,170	20,312	20,487	23,191	0
Total Current Assets	149,165	180,007	167,468	189,859	216,463	229,083
Non-Current Assets						
Property and Equipment, net	113,114	160,281	186,715	204,177	228,060	357,025
Operating Lease Right-of-Use Assets	37,553	56,082	66,286	71,365	78,598	86,054
Goodwill	15,017	15,371	20,288	22,789	23,110	23,273
Other Long-Term Assets	6,306	8,814	22,011	39,663	78,658	122,607
Total Non-Current Assets	172,543	240,548	295,300	337,994	408,426	588,959
TOTAL ASSETS	321,195	420,555	462,675	527,853	624,889	818,042
LIABILITIES						
Current Liabilities						
Accounts Payable	72,539	78,664	79,600	85,248	88,251	121,909
Accrued Expenses and Other	57,683	60,720	66,166	69,456	79,303	75,520
Unearned Revenue	12,522	14,760	17,979	18,133	22,221	20,576
Total Current Liabilities	142,682	154,144	163,745	172,837	189,775	218,005
Non-Current Liabilities						
Long-Term Debt	31,816	48,744	67,651	58,314	58,314	65,648
Other Long-Term Liabilities	53,335	79,356	85,267	94,847	90,831	123,324
Total Non-Current Liabilities	85,151	128,100	152,918	153,161	149,145	188,972

TOTAL LIABILITIES	227,793	282,300	316,630	325,998	338,920	406,977
STOCKHOLDERS EQUITY						
Common Stock	5	5	5	5	5	112
Additional Paid-in Capital	55,437	75,066	89,124	103,779	122,148	132,187
Accumulated Other Comprehensive Loss	-986	-180	(2,989)	(2,357)	(2,089)	28,230
Retained Earnings	58,946	62,912	59,307	100,457	165,905	250,536
TOTAL STOCKHOLDERS EQUITY	93,402	138,255	146,045	201,884	285,969	411,065
TOTAL LIABILITIES AND EQUITY	321,195	420,555	462,675	527,853	624,889	818,042
Key Balance Sheet Metrics						
Working Capital	6,483	25,863	3,723	17,022	26,688	11,078
Total Debt	31,816	48,744	67,651	58,314	58,314	65,648
Cash & Equivalents	42,122	36,477	54,253	73,890	82,312	86,810
Net Debt	(10,306)	12,267	13,398	(15,576)	(23,998)	(21,162)
Book Value of Equity	93,402	138,255	146,045	201,884	285,969	411,065

	2020	2021	2022	2023	2024	2025
OPERATING ACTIVITIES						
Net Income	21,331	33,364	(2,722)	30,425	59,248	77,670
Adjustments to reconcile net income:						
Depreciation and Amortization	25,180	34,433	41,921	48,663	52,795	65,756
Stock-Based Compensation	9,208	12,757	19,621	24,023	22,011	19,467
Other Operating Activities	(3,136)	(14,616)	8,818	(6,624)	2,012	(3,410)
Changes in Operating Assets and Liabilities:						
Accounts Receivable	(8,169)	(9,145)	(8,622)	(8,348)	(3,249)	(7,333)
Inventories	(2,849)	(9,487)	(2,592)	1,449	(1,884)	(3,002)
Accounts Payable	17,480	3,602	2,945	5,473	2,972	11,231
Other Operating Assets/Liabilities	9,916	(24,581)	(11,617)	(9,115)	(17,380)	(20,865)
Net Cash from Operating Activities	66,064	46,327	46,752	84,946	115,877	139,514
INVESTING ACTIVITIES						
Capital Expenditures (CapEx)	(40,140)	(61,053)	(63,645)	(52,729)	(82,999)	(131,819)
Proceeds from Property and Equipment	5,096	5,657	5,324	4,596	5,341	3,499
Acquisitions and Investments	(2,325)	(1,985)	(8,316)	(5,839)	(7,082)	(3,841)
Purchases of Marketable Securities	(22,242)	(60,157)	(2,565)	(1,488)	(26,005)	(54,770)
Sales/Maturities of Marketable Securities	27,157	59,384	31,601	5,627	16,403	44,386
Net Cash from Investing Activities	(32,454)	(58,154)	(37,601)	(49,833)	(94,342)	(142,545)
FINANCING ACTIVITIES						
Proceeds from Debt	17,321	26,959	62,719	18,129	5,142	24,993
Repayments of Debt	(18,425)	(20,668)	(47,001)	(34,008)	(16,954)	(13,447)
Net Debt Issued/(Repaid)	(1,104)	6,291	15,718	(15,879)	(11,812)	11,546
Principal Repayments of Finance Leases	(10,918)	(11,163)	(7,941)	(4,384)	(2,043)	(1,557)
Other Financing Activities	-82	291	-248	-271	-669	-328
Net Cash from Financing Activities	(1,104)	6,291	9,718	(15,879)	(11,812)	9,661
Effect of Exchange Rate Changes	618	-364	(1,093)	403	(1,301)	1,164

Net Change in Cash	5,967	(5,900)	17,776	19,637	8,422	4,498
Cash at Beginning of Period	36,155	42,122	36,477	54,253	73,890	82,312
Cash at End of Period	42,122	36,477	54,253	73,890	82,312	86,810
KEY CASH FLOW METRICS						
Operating Cash Flow	66,064	46,327	46,752	84,946	115,877	139,514
Capital Expenditures	(40,140)	(61,053)	(63,645)	(52,729)	(82,999)	(131,819)
Free Cash Flow (OCF - CapEx)	25,924	(14,726)	(16,893)	32,217	32,878	7,695
FCF Margin %	6.71%	-3.13%	-3.29%	5.61%	5.20%	1.07%

Amazon — Peer Comparison (Comparable Company Analysis)

Researched 10 Jul 2026 • prices as of 9-Jul-2026 close

Company	Price (\$)	EPS (\$)	P/E (x)
Amazon ★	247.04	8.36	29.6x
Microsoft	384.25	16.86	22.8x
Alphabet	357.24	13.24	27.0x
Meta Platforms	615.60	27.95	22.0x

COMPARABLE-COMPANY SUMMARY

Peer median P/E (x)		22.8x
Amazon P/E premium / (discount) to peers		29.7%
Comps-implied value — peer median P/E × EPS (\$)		190.53
Comps-implied vs current price		-22.9%

Note: A single P/E understates Amazon: AWS and advertising earn far higher margins than the blended figure implies. Value Amazon sum-of-the-parts; comps are directional only.